

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 1, Honorable Socrates Peter Manoukian, Presiding

Courtroom Clerk: Hien-Trang Tran-Thien

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"Every case is important" "No case is more important than any other." —
United States District Judge Edward Weinfeld (<https://www.nytimes.com/1988/01/18/obituaries/judge-edward-weinfeld-86-dies-on-us-bench-nearly-4-decades.html>)

"The Opposing Counsel on the Second-Biggest Case of Your Life Will Be the Trial Judge on the
Biggest Case of Your Life." — Common Wisdom.

As Shakespeare observed, it is not uncommon for legal adversaries to "strive mightily, but eat and
drink as friends." (Shakespeare, *The Taming of the Shrew*, act I, scene ii.)" (*Gregori v. Bank of
America* (1989) 207 Cal.App.3d 291, 309.)

Counsel is duty-bound to know the rules of civil procedure. (See *Ten Eyck v. Industrial Forklifts Co.*
(1989) 216 Cal.App.3d 540, 545.) The rules of civil procedure must apply equally to parties represented
by counsel and those who forgo attorney representation. (*McClain v. Kissler* (2019) 39 Cal.App.5th 399.)

By Standing Order of this Court, all parties appearing in this Court are expected to comply with the
Code of Professionalism adopted by the Santa Clara County Bar Association:

<https://www.sccba.com/code-of-professional-conduct/>

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DATE: Thursday, 02 July 2026

TIME: 9:00 A.M.

**Please note that Judge Socrates Peter Manoukian will be hearing the
Department 1 calendar on 30 June 2026 and on 02 July 2026 in place
of Judge Eunice Lee.**

TO ALL LAWYERS APPEARING IN THIS COURT: Please be on the lookout for announcements concerning "Civil Trials and Civil Motion Practice: Best Practices in Santa Clara County Superior Court." The program is tentatively set for 20 June 2024 at 12:00 PM on the Department 6 Teams Link. The program is available to all lawyers whether or not they are members of Santa Clara County Bar Association.

This Court expects all counsel and litigants to comply with the Tentative Rulings Procedures that are outlined in Local Civil Rule 8(E) and **California Rules of Court**, rule 3.1308. If the Court has not directed argument, oral argument must be permitted only if a party notifies all other parties and the Court at (408) 808-6856 before 4:00 p.m. on the court day before the hearing of the party's intention to appear. A party must notify all other parties by

telephone or in person. A failure to timely notify this Court and/or the opposing parties may result in the tentative ruling being the final order in the matter.

You may use these links for Case Management Conferences and Trial Setting Conferences without Court permission. Informal Discovery Conferences and appearances on Ex Parte applications will be set on Order by the Court.

By appearing in this Department, whether in-person or by remote video platform, you represent that you have read the protocols of this Department, that you understand them, and that you will comply with them.

APPEARANCES.

Appearances are usually held on the Zoom virtual platform. However, we are currently allowing in-court appearances as well. If you do intend to appear in person, please advise us when you call to contest the tentative ruling so we can give you current instructions as to how to enter the building. If the doors to the Old Courthouse are locked, please see the deputies at the metal detector next door at 191 North First Street.

Whether appearing in person or on a virtual platform, the usual custom and practices of decorum and attire apply. (See *Jensen v. Superior Court (San Diego)* (1984) 154 Cal.App.3d 533.). Counsel should use good quality equipment and with sufficient bandwidth. Cellphones are very low quality in using a virtual platform. Please use the video function when accessing the Zoom platform. The Court expects to see the faces of the parties appearing on a virtual platform as opposed to listening to a disembodied voice.

For new Rules of Court concerning remote hearings and appearances, please review California **Rules of Court**, rule 3.672.

“A person's name is to him or her the sweetest and most important sound in any language.”—Dale Carnegie. All Courts of California celebrate the diversity of the attorneys and the litigants who appear in our Courts. Do not hesitate to correct the Court or Court Staff concerning the pronunciation of any name or how anyone prefers to be addressed. As this Court is fond of saying, “with a name like mine, I try to be careful how I pronounce the names of others.” Please inform the Court how you, or if your client is with you, you and your client prefer to be introduced. The Court encourages the use of diacritical marks, multiple surnames and the like for the names of attorneys, litigants and in court papers. You might also try www.pronouncenames.com but that site mispronounces my name.

Please notify this Court immediately if the matter will not be heard on the scheduled date. **California Rules of Court**, rule 3.1304(b). If a party fails to appear at a law and motion hearing without having given notice, this Court may take the matter off calendar, to be reset only upon motion, or may rule on the matter. **California Rules of Court**, rule 3.1304(d). A party may give notice that he or she will not appear at a law and motion hearing and submit the matter without an appearance unless this Court orders otherwise. This Court will rule on the motion as if the party had appeared. California Rules of Court, rule 3.1304(c). Any uncontested matter or matters to which stipulations have been reached can be processed through the Clerk in the usual manner. Please include a proposed order.

All proposed orders and papers should be submitted to this Department's e-filing queue. Do not send documents to the Department email unless directed to do so.

While the Court will still allow physical appearances, all litigants are encouraged to use the Zoom platform for Law & Motion appearances and Case Management Conferences. Use of other virtual platform devices will make it difficult for all parties fully to participate in the hearings. Please note the requirement of entering a password

(highlighted above.) As for personal appearances, protocols concerning social distancing and facial coverings in compliance with the directives of the Public Health Officer will be enforced. Currently, facemasks are not required in all courthouses. If you appear in person and do wear a mask, it will be helpful if you wear a disposable paper mask while using the courtroom microphones so that your voice will not be muffled.

Individuals who wish to access the Courthouse are advised to bring a plastic bag within which to place any personal items that are to go through the metal detector located at the doorway to the courthouse.

Sign-ins will begin at about 8:30 AM. Court staff will assist you when you sign in. If you are using the Zoom virtual platform, it will be helpful if you “rename” yourself as follows: in the upper right corner of the screen with your name you will see a blue box with three horizontal dots. Click on that and then click on the “rename” feature. You may type your name as: **Line #/name/party**. If you are a member of the public who wishes to view the Zoom session and remain anonymous, you may simply sign in as “Public.”

CIVILITY.

In the 50 years that this Judge has been involved with the legal profession, the discussion of the decline in civility in the legal profession has always been one of the top topics of continuing education classes.

This Court is aware of a study being undertaken led by Justice Brian Currey and involving various lawyer groups to redefine rules of civility. This Judge has told Justice Currey that the lack of civility is due more to the inability or unwillingness of judicial officers to enforce the existing rules.

The parties are forewarned that this Court may consider the imposition of sanctions against the party or attorney who engages in disruptive and discourteous behavior during the pendency of this litigation.

COURT REPORTERS.

This session will not be recorded. No electronic recordings, video, still photography or audio capture of this live stream is allowed without the expressed, written permission of the Superior Court of California, County of Santa Clara. State and Local Court rules prohibit photographing or recording of court proceedings whether in the courtroom or while listening on the Public Access Line or other virtual platform, without a Court Order. See Local General Rule 2(A) and 2(B); **California Rules of Court**, rule 1.150.

This Court no longer provides for Court Reporters in civil actions except in limited circumstances. If you wish to arrange for a court reporter, please use Local Form #CV-5100. All reporters are encouraged to work from a remote location. Please inform this Court if any reporter wishes to work in the courtroom. This Court will approve all requests to bring a court reporter. Counsel should meet and confer on the use of a court reporter so that only one reporter appears and serves as the official reporter for that hearing.

PROTOCOLS DURING THE HEARINGS.

During the calling of any hearing, this Court has found that the Zoom video platform works very well. But whether using Zoom or any telephone, it is preferable to use a landline if possible. IT IS ABSOLUTELY NECESSARY FOR ALL INDIVIDUALS TO SPEAK SLOWLY. Plaintiff should speak first, followed by any other person. All persons should spell their names for the benefit of Court Staff. Please do not use any hands-free mode if at all possible. Headsets or earbuds of good quality will be of great assistance to minimize feedback and distortion.

The Court will prepare the Final Order unless stated otherwise below or at the hearing. Counsel are to comply with **California Rules of Court**, rule 3.1312.

TROUBLESHOOTING TENTATIVE RULINGS.

To access a tentative ruling, move your cursor over the line number, hold down the “Control” key and click. If you see last week’s tentative rulings, you have checked prior to the posting of the current week’s tentative rulings. You will need to either “REFRESH” or “QUIT” your browser and reopen it. Another suggestion is to “clean the cache” of your browser. Finally, you may have to switch browsers. If you fail to do any of these, your browser may pull up old information from old cookies even after the tentative rulings have been posted.

This Court's tentative ruling is just that—tentative. Trial courts are not bound by their tentative rulings, which are superseded by the final order. (See *Faulkinbury v. Boyd & Associates, Inc.* (2010) 185 Cal.App.4th 1363, 1374-1375.) The tentative ruling allows a party to focus his or her arguments at a subsequent hearing and to attempt to convince the Court the tentative should or should not become the Court's final order. (*Cowan v. Krayzman* (2011) 196 Cal.App.4th 907, 917.) If you wish to challenge a tentative ruling, please refer to a specific portion of the tentative ruling to which you disagree.

LINE #	CASE #	CASE TITLE	TENTATIVE RULING
LINE 1	23CV418654	Freidrik Ternian v. Ninos Ternian	Motion Of Ninos Ternian For Dismissal For Delay In Prosecution (<i>Code of Civil Procedure</i>, § 583.120(b).) NO TENTATIVE RULING. The parties may appear and argue the matter on the merits. Counsel for Plaintiff obtained a substitution of Freidrik Ternian, (now deceased) in favor of Souzi Ternian. Counsel for Plaintiff is also seeking to withdraw as counsel for Plaintiff. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on “Civility.”
LINE 2	24CV438701	James Bodwin v. Valerie Chan	Motion of Defendant and Cross-Complainants Persimmons, Inc., Valerie Chan, and Eugene Feinberg for Summary Judgment. The Court GRANTS Defendants’ motion for summary adjudication of the first, sixth, seventh, and eighth causes of action. The Court DENIES Defendants’ motion for summary adjudication of the second, fifth, eleventh, and thirteenth causes of action. SEE ATTACHED TENTATIVE RULING. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on “Civility.”

LINE #	CASE #	CASE TITLE	TENTATIVE RULING
LINE 3	25CV473718	Kylie K. Lum v. Heartflow, Inc.; Vanessa Hobbs; et al.	Motion of Defendant Heartflow, Inc. to Compel Arbitration. The motion of defendants to compel arbitration is GRANTED. The action of defendants to stay the litigation of this matter is GRANTED pending the outcome of arbitration. SEE ATTACHED TENTATIVE RULING. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on "Civility."
LINE 4	25CV473718	Kylie K. Lum v. Heartflow, Inc.; Vanessa Hobbs; et al.	Motion Of Defendant Heartflow, Inc. for a Stay of Proceedings Pending Arbitration. SEE LINE #3. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on "Civility."
LINE 5	25CV481839	Alden Ang v. BMW Financial Services NA, LLC	Order On Defendant BMW Financial Services' Motion To Compel Arbitration And Demurrer. Defendant's motion to compel arbitration is GRANTED. The proceedings are hereby STAYED pending the outcome of arbitration. Defendant's demurrer is therefore MOOT. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on "Civility."
LINE 6	25CV481839	Alden Ang v. BMW Financial Services NA, LLC	Order On Defendant BMW Financial Services' Motion To Compel Arbitration And Demurrer SEE LINE #6. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this
LINE 7			SEE ATTACHED TENTATIVE RULING. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on "Civility."
LINE 8			SEE ATTACHED TENTATIVE RULING. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on "Civility."

LINE #	CASE #	CASE TITLE	TENTATIVE RULING
LINE 9			SEE ATTACHED TENTATIVE RULING. By appearing on a contested tentative ruling, you will be presumed to have read the Bannerhead at the top of this Tentative Ruling Page and the paragraph on "Civility."

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Calendar Line 1

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Calendar Line 2

**Superior Court, State Of California
County Of Santa Clara**

Department 1

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(For Clerk's Use Only)

Judge Socrates Peter Manoukian is covering for Judge Eunice Lee on 30 June and on 02 July 2026

**Case No.: James Bodwin v. Persimmons, Inc.; Valerie Chan; Eugene Feinberg
24CV438701
Date: 02 July 2026 9:00 am Line Number: 02**

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**Motion of Defendant and Cross-Complainants
Persimmons, Inc., Valerie Chan, and Eugene Feinberg
for Summary Judgment.**

I. Introduction.

Defendants Persimmons, Inc., Valerie Chan, and Eugene Feinberg's motion for summary adjudication came on for hearing before the Honorable Socrates P. Manoukian on July 2, 2026 at 9:00 a.m. in Department 1. The matter having been submitted, the court orders as follows:

II. Statement of Facts

On May 9, 2024, plaintiff James Bodwin ("Plaintiff") filed the operative Complaint alleging the following causes of action against defendants Persimmons, Inc. ("Persimmons"), Valerie Chan ("Chan"), and Eugene Feinberg ("Feinberg", collectively, "Defendants"):

- (1) breach of contract;
- (2) fraudulent inducement;
- (3) wrongful termination;
- (4) retaliation and wrongful termination in violation of public policy;
- (5) negligent misrepresentation;
- (6) breach of fiduciary duty;
- (7) aiding and abetting breach of fiduciary duty;
- (8) breach of loyalty;
- (9) unjust enrichment;
- (10) accounting;
- (11) fraud; (

- 12) unfair business practice; and
- (13) declaratory and injunctive relief.

In June 2023, Plaintiff, Chan, and Feinberg co-founded Persimmons and formed its Board of Directors (the “Board”). (Complaint, ¶ 2.) Persimmons was formed to make products to implement and monetize the cutting-edge and valuable intellectual property that Plaintiff created and developed before forming Persimmons (the “IP”). (Ibid.) Persimmons was also formed with the understanding that Plaintiff would contribute his IP and know-how, Feinberg would contribute technical know-how to develop hardware to support Plaintiff’s IP, and Chan would provide business expertise and generate the necessary funding to establish and grow the business. (Id. at ¶ 3.)

On June 30, 2023, Plaintiff agreed to assign his IP to Persimmons in exchange for three million shares of Persimmons (the “Assignment Shares”) pursuant to the executed Assignment of Technology Agreement (the “Assignment Agreement”). (Complaint, ¶ 12, Ex. A.)

Plaintiff also agreed to be employed by Persimmons in exchange for another three million shares of Persimmons (the “Founder Shares”) that would vest over four years pursuant to the executed Founder’s Restricted Stock Purchase Agreement (the “RSPA”). (Ibid., Ex. B.)

While Plaintiff delivered on his promises, Chan and Feinberg failed to meet their corresponding obligations, resulting in Persimmons’ loss of crucial market opportunities and Plaintiff’s deferment of his \$200,000 annual salary at Chan’s request. (Id. at ¶ 15.)

Shortly after the formation of Persimmons and Plaintiff assigned his IP, Chan and Feinberg began threatening to shut down Persimmons, and Plaintiff sought to reclaim his IP rights. (Complaint, ¶ 16.) Plaintiff’s relationship with Chan and Feinberg subsequently deteriorated, culminating in his removal from the Board and termination from Persimmons. (Id. at ¶ 19.)

Defendants now claim Persimmons owns Plaintiff’s IP and that Plaintiff is only entitled to five hundred thousand shares of the Founder Shares during his 8-month tenure. (Id. at ¶ 20.) Plaintiff never received any portion of his annual salary or Assignment Shares. (Ibid.)

On April 10, 2026, Defendants filed the present motion for summary adjudication, which was originally set to be heard on December 8, 2026. On April 21, 2026, this Court granted Defendants’ ex parte application to advance the hearing to July 2, 2026. Plaintiff filed timely written opposition, and Defendants filed timely written reply.

III. Summary Judgment Motions in General.

A motion for summary judgment or summary adjudication “shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (**Code of Civil Procedure**, § 437c, subd. (c).)

“[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact. (**Aguilar v. Atlantic Richfield Co.** (2001) 25 Cal.4th 826, 850 (**Aguilar**)).

Similarly, “[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. [Citation.] ‘A motion for summary adjudication...shall proceed in all procedural respects as a motion for summary judgment.’ [Citation.]” (**California Bank & Trust v. Lawlor** (2013) 222 Cal.App.4th 625, 630 (**California Bank**)).

“There is a genuine issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (**Aguilar**, supra, 25 Cal.4th at p. 845, fn. omitted.) Throughout the process, the trial court “must consider all of the

evidence and all of the inferences drawn therefrom” and view the evidence and inferences in the light most favorable to the opposing party. (Id. at p. 844.)

III. Procedural Issues.

A. Improper Separate Statement.

Plaintiff’s response to Defendants’ separate statement includes evidentiary objections that the court will not consider as they are not presented in the format required by California **Rules of Court**, rule 3.1354. (See **Vineyard Spring Estates v. Superior Court** (2004) 120 Cal.App.4th 633, 642-643.)¹

B. Plaintiff’s Request for Leave to Amend.

Plaintiff’s opposition requests for leave to amend to add claims or allegations to the Complaint. Plaintiff’s request is denied without prejudice.

Plaintiff has not made the requisite showing that Plaintiff has not been dilatory in seeking amendment or that Defendants would not be prejudiced by the amendment. The importance of this showing is further underscored by the fact that trial is set for August 3, 2026. (See **Hughes v. Farmers Ins. Exchange** (2024) 107 Cal.App.5th 73, 87 [noting liberal policy of allowing amendment only where no prejudice is shown to adverse party]; see also **Magpali v. Farmers Group** (1996) 48 Cal.App.4th 471, 486 [denying request for leave to amend made on eve of trial without explanation for delay when action was commenced two years ago].)

IV. Analysis.

A. First Cause of Action: Breach of Contract.

Plaintiff’s first cause of action for breach of contract is premised on Persimmons’ failure to compensate Plaintiff with the Assignment Shares in exchange for Plaintiff’s assignment of his IP to Persimmons pursuant to the Assignment Agreement. (Complaint, ¶ 23.)

In moving for summary adjudication on the first cause of action for breach of contract, Defendants assert that Persimmons only contracted to provide Plaintiff with three million shares under the plain language of the RSPA, and the Assignment Agreement—which serves as partial consideration for the RSPA—did not provide for an additional three million shares. (Motion, pp. 14:14-18, 15:7-10.)

In opposition, Plaintiff maintains that the plain language of the RSPA and Assignment Agreement provides a total of six million shares, and the Assignment Agreement would be otherwise unenforceable for lack of consideration under Defendants’ interpretation. (Opposition, p. 17:4-7.)

Accordingly, the Court is faced with an issue of contract interpretation. (See **Wolf v. Walt Disney Pictures & Television** (2008) 162 Cal.App.4th 1107, 1125-1126 (Wolf) [“The interpretation of a contract is a judicial function.”])

“Under statutory rules of contract interpretation, the mutual intention of the parties at the time the contract is formed governs interpretation. Such intent is to be inferred, if possible, solely from the written provisions of the contract.” (**Santisas v. Goodin** (1998) 17 Cal.4th 599, 608.)

¹ “In light of the foregoing statutory requirements, it has been correctly held that, when evidentiary objections are in a proper form, a trial court must rule on the objections. [¶] It is imperative that a trial court rule on evidentiary objections regardless of whether the motion is denied or granted. A trial court cannot decide whether a motion should be denied or granted until it has first determined what admissible evidence is in play on the motion. Moreover, when a trial court fails to rule on summary judgment evidentiary objections, the objections are ordinarily deemed waived on appeal, and the appellate court will consider the objected to evidence in reviewing the ruling on the motion.” (internal citations omitted) (**Vineyard Springs Estates v. Superior Court** (2004) 120 Cal.App.4th 633, 642-643.)

The Assignment Agreement provides, in relevant part:

A. Assignor is an author or inventor and owner of the Technology (as defined below), and Assignor desires to assign and transfer to the Company all of Assignor's right, title and interest in and to the Technology and other related rights in full or partial exchange for the Company's issuance to Assignor of 3,000,000 shares of the Company's Common Stock (the "Shares").

B. The parties are entering into this Agreement pursuant to that certain Founder's Restricted Stock Purchase Agreement by and between the Company and Assignor dated of even date herewith (the "Stock Purchase Agreement").

...

5. Indemnity. ...Notwithstanding anything contained herein to the contrary, Assignor's entire liability under this Agreement shall be limited to \$15.00.

6.7 Entire Agreement. This Agreement and the documents referred to herein, including but not limited to the Stock Purchase Agreement, constitute the entire agreement and understanding of the parties with respect to the subject matter of this Agreement, and supersede all prior and contemporaneous understandings and agreements, whether oral or written, between or among the parties hereto with respect to the specific subject matter hereof.

(Declaration of John D. Pernick ["Pernick Decl."], Ex. 2, emphases original.)

The RSPA provides, in relevant part:

1. PURCHASE OF SHARES. On the Effective Date and subject to the terms and conditions of this Agreement, Purchaser hereby purchases from the Company, and Company hereby sells to Purchaser, an aggregate of Three Million (3,000,000) shares of the Company's Common Stock, \$0.00001 par value per share (the "Shares"), at an aggregate purchase price of Thirty Dollars and No Cents (\$30.00) (the "Purchase Price") or \$0.00001 per Share (the "Purchase Price Per Share")...

...

2.1 Deliveries by Purchaser. Purchaser hereby delivers to the Company: (a) a duly executed copy of this Agreement...(d) payment of the Purchase Price by Purchaser's assignment to the Company of certain technology and related rights owned by Purchaser by delivery to the Company of an Assignment of Technology Agreement with a value of \$15.00, and by check in the amount of \$15.00...

12.6 Entire Agreement. This Agreement and the documents referred to herein constitute the entire agreement and understanding of the parties with respect to the subject matter of this Agreement, and supersede all prior and contemporaneous understandings and agreements, whether oral or written, between or among the parties hereto with respect to the specific subject matter hereof.

(Id., Ex. 3, emphasis original.)

Given the foregoing, Defendants maintain that the RSPA and Assignment Agreement, read together, memorialize a grant of three million shares in Persimmons. Specifically, the RSPA provides that Persimmon would sell three million shares of its stock at \$0.00001 per share (i.e., \$30.00), and Plaintiff would pay that price by assigning the IP by delivering the Assignment Agreement with a value of \$15.00 and by a \$15.00 check for a total of \$30.00.

Comparing the RSPA and Assignment Agreement, Defendants point out that only the RSPA contains language governing the issuance of shares, and furthermore, the value of the Assignment Agreement is supported by its indemnity provision, which expressly limits Plaintiff's entire liability to \$15.00. (Defendants' Separate Statement of Undisputed Material Facts [UMF], No. 26.)

In opposition, Plaintiff argues that the Assignment Agreement expressly states that Plaintiff would receive three million shares not subject to vesting.

However, Plaintiff does not identify, and this Court could not find, the specific provision in the Assignment Agreement. While Plaintiff also contends that the Assignment Agreement is a deliverable and agreement separate from the RSPA, the court notes that this contention ignores the express integration clauses in the RSPA and the Assignment Agreement. (See Pernick Decl., Ex. 2, § 6.7; id., Ex. 3, § 12.6; see also **Code of Civil Procedure**, § 1856, subd. (a) [“Terms set forth in a writing intended by the parties as a final expression of their agreement with respect to the terms included therein may not be contradicted by evidence of a prior agreement or of a contemporaneous oral agreement.”])

Furthermore, Plaintiff’s attempt to characterize the Assignment Agreement as a “deliverable”, rather than consideration, is unconvincing given the plain language of section 2.1 of the RSPA and that the “deliverable” is not a defined term under the RSPA. (See **Civil Code**, § 1604 [defining good consideration as either a benefit conferred or agreed to be conferred upon the promisor or a detriment suffered or agreed to be suffered by the promisee]; see also Pernick Decl., Ex. 2, § 12.3 [noting titles and headings of the RSPA “will be disregarded in interpreting or construing this Agreement].)

This Court concludes that the RSPA and Assignment Agreement, as an integrated contract, is unambiguous in providing only three million shares of Persimmons stock to Plaintiff. Accordingly, this Court need not consider Plaintiff’s extrinsic evidence in interpreting the contract. (See **Winet v. Price** (1992) 4 Cal.App.4th 1159, 1165 [“parol evidence is properly admitted to construe a written instrument when its language is ambiguous.”])

Plaintiff also argues that Defendants’ interpretation of the Assignment Agreement would render that contract void for lack of consideration. The court rejects this argument as it is unsupported by evidence or legal authority. (**Public Employment Relations Bd. v. Bellflower Unified School Dist.** (2018) 29 Cal.App.5th 927, 939 [“The absence of cogent legal argument or citation to authority allows this court to treat the contention as waived.”])

Specifically, Plaintiff asserts that because (1) the RSPA valued the paperwork, rather than the underlying IP assigned, as \$15.00; and (2) Plaintiff would not have valued his “intellectual labor and inventive spirit at \$15 nor would he have sold the rights to his intellectual property for such a paltry sum,” the consideration for the Assignment Agreement would be illusory. (Opposition, p. 19:4-9.) Plaintiff cites no evidence that supports his interpretation of the RSPA, nor does he provide evidence stating the valuation of his IP and inventive spirit.

Instead, Plaintiff surmises that it would be impossible that “Chan’s assignment of nothing” is of equal value as Plaintiff’s “bedrock intellectual property”. (Id. at p. 19:6-7.) This is insufficient to demonstrate a triable issue of material fact. (See **Cox v. Griffin** (2019) 34 Cal.App.5th 440, 451 [“It is axiomatic that argument is not evidence.”].) In any event, as Defendants point out in their reply, the consideration could not be considered as illusory because Plaintiff immediately received 62,500 vested shares upon the execution of the RSPA. (See Reply, pp. 6:26-7:6 [citing Complaint, Ex. A [“RSPA”], § 6.2.1];

Plaintiff also contends that because the nominal \$30.00 consideration is equal with the immediate, restricted value of the vested shares conditioned on continued employment under the RSPA, the Assignment Agreement, which does not have a vesting schedule and provides an immediate, permanent benefit via the IP, must necessarily require “meaningful consideration” (i.e., three million additional shares). Again, Plaintiff cites no authority in support of this argument, nor does Plaintiff provide evidence supporting the valuation of his IP or the theory as the parties’ understanding of the RSPA and Assignment Agreement. (See **Cole v. Town of Los Gatos** (2012) 205 Cal.App.4th 749, 767, fn. 8 [“It goes without saying that statements in a memorandum of points and authorities are not evidence.”])

Finally, as Defendants point out in their reply, “It is not for the court to second guess the sufficiency of...consideration.” (Reply, at p. 6:25 [quoting **Chen v. PayPal, Inc.** (2021) 61 Cal.App.5th 559, 577].)

Given the foregoing, the court GRANTS Defendants’ motion for summary adjudication of the First Cause Of Action.

B. Second, Fifth, and Eleventh Causes of Action: Fraud Claims

Plaintiff's second cause of action for fraudulent inducement, fifth cause of action for negligent misrepresentation, and eleventh cause of action for fraud (collectively, the "fraud claims") allege Defendants made the following misrepresentations to induce Plaintiff into assigning his IP to Persimmons: (1) Persimmons' repeated representations to Plaintiff that he would receive Assignment Shares if he assigned the IP to Persimmons and that he would receive an annual salary of \$200,000 and Founder Shares vesting over four years; (2) Chan's repeated representations that she would secure funding to pay Plaintiff's annual salary and make Persimmons successful; and (3) Feinberg's repeated representations to Plaintiff that he would timely develop and release hardware implementing the IP for monetization. (Complaint, ¶¶ 55-57.)

"The elements of fraud are (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages." (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792 [citation omitted].)

The elements of a negligent misrepresentation claim are similar except that the defendant made the misrepresentation without reasonable ground for believing it to be true. (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 196.)

In moving for summary adjudication of the fraud claims, Defendants aver that (1) neither Chan nor Feinberg knowingly made a false representation to Plaintiff; (2) Plaintiff did not rely on Chan or Feinberg's false representations; and (3) any reliance on Plaintiff's part would not be justifiable as a matter of law. (Motion, p. 17:8-12.)

As an initial matter, the Court observes that while Defendants assert that neither Chan nor Feinberg knowingly made a false representation, Defendants are in fact arguing that Defendants made no misrepresentations at all. (Compare, Motion, p. 17:9-10 with *id.* at p. 19:3-5 ["there were no false representations made to Bodwin, whether knowingly or otherwise."])

In advancing this argument, Defendants assert that Chan and Feinberg's promises to secure sufficient funding and develop hardware to support the IP in the future—without evidence of an intent not to perform—does not constitute actionable fraud under *Tenzer v. Superscope, Inc.* (1985) 39 Cal.3d 18, 30 (*Tenzer*). In *Tenzer*, the California Supreme Court disapproved a line of cases holding that a subsequent failure to perform warrants the inference that a defendant did not intend to perform when making the promise and noted that fraudulent intent may be established through circumstantial evidence instead. (*Ibid.*)

Defendants' undisputed material facts in support of this issue do not address intent much less establish a lack of evidence of intent to deceive. (See *Parsons v. Estenson Logistics, LLC* (2022) 86 Cal.App.5th 1260, 1265, fn. 5 ["[A]ll material facts must be set forth in the separate statement. 'This is the Golden Rule of Summary Adjudication: if it is not set forth in the separate statement, it does not exist.'"]) Accordingly, summary adjudication cannot be granted on this argument.

Turning to the element of justifiable reliance, Defendants first assert that Plaintiff did not rely on any representations by the Defendants, and even if he had, the reliance would not be justifiable. The Court notes, however, that Defendants fail to address all allegations of misrepresentations upon which Plaintiff relied. Specifically, Defendants fail to address the allegation that Persimmons also misrepresented that Plaintiff received \$200,000 and Founder Shares vesting over four years. (See e.g., Complaint, ¶ 87.) Defendants' failure to address all misrepresentations is a basis for denial as "[a] motion for summary adjudication shall be granted only if it completely disposes of a cause of action..." (Code of Civil Procedure, § 437c, subd. (f)(1).)

Given the foregoing, the Court DENIES Defendants' motion for summary adjudication of the second, fifth, and eleventh causes of action.

C. Thirteenth Cause of Action: Declaratory Relief.

Defendants argue, and Plaintiff agrees, that the declaratory relief claim, which seeks a determination that Plaintiff exclusively owns the IP, is dependent on the breach of contract and fraud claims. Because the court has denied the motion as to the fraud claims, Defendants' motion for summary adjudication of the thirteenth cause of action is DENIED.

D. Sixth, Seventh, And Eighth Causes Of Action: Breach Of Fiduciary Duty Claims.

Plaintiff's sixth cause of action for breach of fiduciary duty against Chan and Feinberg, seventh cause of action for aiding and abetting breach of fiduciary duty against Feinberg, and eighth cause of action for breach of loyalty (collectively, "breach of fiduciary duty claims") against Chan and Feinberg are premised on Chan and Feinberg's respective failures to fulfill their obligations as CEO, CTO, Board Members, and shareholders of Persimmons. (Complaint, ¶¶ 64-65, 73-74.)

Chan and Feinberg are accused of, inter alia, misappropriating or mismanaging corporate funds and preventing Plaintiff from accessing all corporate records and performing his duties as a Board Member. (Id. at ¶¶ 64-65.) Chan and Feinberg owed Persimmons fiduciary obligations of fidelity, trust, loyalty, and due care, in addition to the fiduciary duty to refrain from using their position and trust for personal advantage in detriment to Persimmons. (Id. at ¶¶ 66, 75.)

In moving for summary adjudication of these claims, Defendants assert that Plaintiff lacks standing to pursue these claims because they are derivative claims, and Plaintiff has not complied with the standing requirements for such an action pursuant to Corporations Code section 800. (Motion, p. 20:18-23.)

"In determining whether an individual action as opposed to a derivative action lies, a court looks at the gravamen of the wrong alleged in the pleadings." (*Holistic Supplements, LLC v. Stark* (2021) 61 Cal.App.5th 530, 542, citation and quotations removed.) An action is derivative, or in the corporate right, "if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets." (*Jones v. H. F. Ahmanson & Co.* (1969) 1 Cal.3d 93, 106 (*Jones*), citation and quotations removed.)

Here, the Complaint alleges damages that are merely incidental to the damages suffered by Persimmons, therefore, the breach of fiduciary duty claims are derivative claims. (See *Jones*, supra, 1 Cal.3d at p. 107 [holding individual, rather than derivative action, exists only if damage to shareholders is not incidental to the corporation's damage].)

Specifically, the Complaint only alleges, "Plaintiff, as a shareholder of Persimmons, has sustained, and will continue to sustain, damages for which Plaintiff should be compensated and made whole." (Complaint, ¶¶ 67, 76; see id. at ¶ 71.) In opposition, Plaintiff argues that the breaches caused Plaintiff to be stripped of 2.5 million shares of stock. (Opposition, p. 24:4-9.)

The Court rejects this argument as "[a] party may not oppose a summary judgment motion based on a claim, theory, or defense that is not alleged in the pleadings[.]" (*California Bank*, supra, 222 Cal.App.4th at p. 637, fn. 3.) Moreover, Plaintiff's reliance on *Jara v. Suprema Meats, Inc.* (2004) 121 Cal.App.4th 1238 (*Jara*) is unavailing, as *Jara* concerned a minority shareholder who sued the corporation and two other shareholders, expressly alleging that the majority shareholders breached a fiduciary duty to him by paying themselves excessive compensation and denying him a fair share of the corporate profits. (Id. at pp. 1257-1260.) The Complaint does not allege any specific injury to Plaintiff, nor does it allege that Chan and Feinberg breached a duty to Plaintiff.

Furthermore, the Complaint fails to comply with *Corporations Code*, § 800, subdivision (b)(2), which requires Plaintiff to allege "in the complaint with particularity plaintiff's efforts to secure from the board such action as the plaintiff desires, or the reasons for not making such effort..." A plaintiff need not make this demand on the board "only when the plaintiff sufficiently alleges the demand would have been futile." (*Patrick v. Alacer Corp.* (2008) 167 Cal.App.4th 995, 1004 (*Patrick*)). It is undisputed that the Complaint does not allege that Plaintiff made a demand to Persimmons' Board before commencing this action and alleging the breach of fiduciary duty claims. (UMF, No. 83.)

It is further undisputed that Plaintiff testified that he did not make a formal demand on the Board of Persimmons. (UMF, No. 84.)

In opposition, Plaintiff urges this Court to consider Defendants' motion for summary adjudication as a motion for judgment on the pleadings and grant leave to amend pursuant to **Bostrom v. County of San Bernardino** (1995) 35 Cal.App.4th 1654, 1663 (**Bostrom**). The **Bostrom** court noted that an opportunity to amend should be given where "it appears from the materials submitted in opposition to the motion that the plaintiff could state a cause of action." (Ibid.) Plaintiff asserts that a demand on the Board would have been futile because the Defendants constitute a majority of the Board.

Without more, this is insufficient for the court to conclude that Plaintiff's demand would have been futile, and that Plaintiff could amend the complaint to allege as much. (**Patrick**, supra, 167 Cal.App.4th at p. 1004; see **Oakland Raiders v. NFL** (2001) 93 Cal.App.4th 572, 587 [noting "conclusory facts are insufficient" and "proof must be of 'facts specific to each director from which [the trier of fact] can [find a reasonable doubt] that that particular director could or could not be expected to fairly evaluate the claims of the shareholder plaintiff.'"])

The Court therefore GRANTS Defendants' motion for summary adjudication of the sixth, seventh, and eighth causes of action.

V. Conclusion.

The Court GRANTS Defendants' motion for summary adjudication of the first, sixth, seventh, and eighth causes of action.

The Court DENIES Defendants' motion for summary adjudication of the second, fifth, eleventh, and thirteenth causes of action.

DATED:

HON. SOCRATES PETER MANOUKIAN
Judge of the Superior Court
County Of Santa Clara

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Calendar Line 3

**Superior Court, State Of California
County Of Santa Clara**

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Judge Socrates Peter Manoukian is covering for Judge Eunice Lee on 30 June and on 02 July 2026

**Case No.: 25CV473718
Date: 02 July 2026**

**Kylie K. Lum v. Heartflow, Inc.; Vanessa Hobbs; et al.
9:00 am
Line Nos. 03,04**

-----oooOooo---

**Motion of Defendant Heartflow, Inc. To Compel Arbitration
And To Stay Proceedings.**

I. Introduction.

Before the Court is defendants Heartflow, Inc. and Vanessa Hobbs' motion to compel arbitration and stay proceedings pending arbitration. Pursuant to California **Rules of Court**, rule 3.1308, this Court issues its tentative ruling as follows:

I. Background.

This is an employment discrimination action brought by plaintiff Kylie K. Lum against defendants Heartflow, Inc. ("Heartflow") and Vanessa Hobbs ("Hobbs", collectively, "Defendants").

After taking medical leave to undergo treatment for breast cancer, Plaintiff suffered severe and pervasive harassment and discrimination. Heartflow ultimately terminated Plaintiff's employment. Plaintiff brings this present action alleging:

- (1) disability discrimination in violation of the Fair Employment and Housing Act ("FEHA");
- (2) hostile work environment harassment in violation of FEHA;
- (3) retaliation in violation of FEHA;
- (4) failure to engage in interactive process in violation of FEHA;
- (5) failure to provide reasonable accommodation in violation of FEHA;
- (6) retaliation for requesting accommodation in violation of FEHA;
- (7) failure to prevent harassment in violation of FEHA;
- (8) violation of CFRA rights;
- (9) CFRA rights retaliation;
- (10) whistleblower retaliation;
- (11) wrongful termination in violation of public policy; and
- (12) intentional infliction of emotional distress.

Defendants maintain that under the arbitration clause of the Offer Letter, the claims are subject to binding contractual arbitration.

Defendants filed the present motion to compel arbitration on November 3, 2025. Plaintiff filed a timely opposition, and Defendants filed a timely reply.

III. Legal Standard On Motions to Compel Arbitration.

Defendants contend, and Plaintiff does not dispute, that the Federal Arbitration Act (“FAA”) applies in this case.

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See **Howsan v. Dean Witter Reynolds** (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (**Fleming v. Oliphant Financial, LLC** (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (**Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC** (2012) 55 Cal.4th 223, 236 (**Pinnacle**).)

A showing that an arbitration agreement is unconscionable can bar its enforcement. (**Diaz v. Sohnen Enterprises** (2019) 34 Cal.App.5th 126, 132.) “The doctrine has both a procedural and substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. Both elements must be present for a court to refuse enforcement.” (Ibid., internal quotation marks and citations omitted.)

IV. Analysis.

A. Existence of an Agreement to Arbitrate.

Defendants produce an offer letter by Heartflow, dated April 21, 2022 (the “Offer Letter”) to demonstrate the existence of an arbitration agreement. The Offer Letter provides, in relevant part:

“As a condition of your employment, you are also required to sign and comply with an At-Will Employment, Confidential Information, Invention Assignment and Arbitration Agreement which requires, among other provisions, the assignment of patent rights to any invention made during your employment at the Company, and non-disclosure of Company proprietary information. In the event of any dispute or claim relating to or arising out of our employment relationship, you and the Company agree that (i) any and all disputes between you and the Company shall be fully and finally resolved by binding arbitration; (ii) you are waiving any and all rights to a jury trial but all court remedies will be available in arbitration; (iii) all disputes shall be resolved by a neutral arbitrator who shall issue a written opinion; (iv) the arbitration shall provide for adequate discovery; and (v) the Company shall pay all but the first \$125 of the arbitration fees. Please note that we must receive your signed At-Will Agreement before your first day of employment.” (Declaration of Stephanie Heller [“Heller Decl.”], Ex. A [“Offer Letter”], p. 2.)

Heartflow’s Chief Human Resources Officer, Stephanie Heller, attests that Heartflow sent the Offer Letter with the arbitration provision via DocuSign on April 22, 2022 at 10:13 a.m., and Plaintiff viewed the letter that same day at 10:50 a.m. and signed the letter on April 26, 2022 at 9:45 a.m. (Id. at ¶ 12.) Heller also appends to her declaration an email from Plaintiff confirming that she signed the letter via DocuSign. (Id., Ex. C.)

In opposition, Plaintiff argues that an agreement to arbitrate does not exist because (1) the Offer Letter required Plaintiff to sign a separate arbitration agreement, the “At-Will Employment, Confidential Information,

Invention Assignment and Arbitration Agreement” (the “At-Will Agreement”); but (2) the At-Will Agreement contains no arbitration clause. Plaintiff further argues that the following “Legal and Equitable Remedies” provision of the At-Will Agreement indicates that there was no written to agreement to arbitration:

“8. LEGAL AND EQUITABLE REMEDIES. Because Employee’s services are personal and unique, and because Employee may have access to and become acquainted with the Confidential Information of the Company, the Company shall have the right to enforce this Agreement and any of its provisions by injunction, specific performance or other equitable relief, and without prejudice to any other rights and remedies that the Company may have for a breach of this Agreement.” (Declaration Joubin Hanassab, Ex. A [“At-Will Agreement”], p. 3, emphasis original.)

Defendants further argue that, at most, the At-Will Agreement was incorporated by reference in the Offer Letter because both documents were executed contemporaneously, with the former applying a “narrow provisional remedy for a specific category of claims” and the latter establishing “the forum for covered disputes.” (Reply, p. 5:15-16.)

As pointed out Defendants’ reply, however, Plaintiff’s reliance on the title of the At-Will Agreement is unpersuasive given that the contract must be construed in its entirety rather than by the headings contained therein. (Reply, p. 4:1-2 [quoting *Brotherhood Of Railroad Trainmen v. Baltimore & Ohio Railroad Co.* (1947) 331 U.S. 519, 528-529²].)

This Court finds it interesting that Defendants long-standing California law has been similar.

Civil Code, § 1642 states: “Several contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together.”

Civil Code, § 1647 states: “A contract may be explained by reference to the circumstances under which it was made, and the matter to which it relates.”

“Several contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together.” (**Civil Code**, § 1642.) Obviously, the most certain criterion of the completeness of an individual writing will [**948] be found within the writing itself. It is therefore the general rule that two or more separately executed instruments may be considered and construed as one contract only when upon their face they deal with the same subject matter and are by reference to one another so connected that they may be fairly said to be interdependent.” (*Merkeley v. Fisk* (1919) 179 Cal. 748, 754.)

The Court finds Defendants’ argument persuasive as the Offer Letter concludes, in relevant part: “This letter, along with any agreements relating to proprietary rights between you and the Company, set forth the terms of your employment with the Company and supersede any prior representations or agreements including, but not limited to, any representations made during your recruitment, interviews, or pre-employment negotiations, whether written or oral.” (Offer Letter, pp. 2-3.)

Given the language of the Offer Letter, and that Plaintiff does not contest that she read and signed the Offer Letter (including the At-Will Agreement), the Court concludes that an arbitration agreement (i.e. the Offer Letter and At-Will Agreement) exists.

² “But headings and titles are not meant to take the place of the detailed provisions of the text. Nor are they necessarily designed to be a reference guide or a synopsis. Where the text is complicated and prolific, headings and titles can do no more than indicate the provisions in a most general manner; to attempt to refer to each specific provision would often be ungainly as well as useless. As a result, matters in the text which deviate from those falling within the general pattern are frequently unreflected in the headings and titles. Factors of this type have led to the wise rule that the title of a statute and the heading of a section cannot limit the plain meaning of the text. (citations omitted.) For interpretative purposes, they are of use only when they shed light on some ambiguous word or phrase. They are but tools available for the resolution of a doubt. But they cannot undo or limit that which the text makes plain.”

B. Unconscionability.

“The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.” (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*), internal citation omitted.)

Unconscionability has both procedural and substantive elements, and both must appear for a court to invalidate a contract or one of its individual terms. (*Armendariz v. Foundation Health Psychare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*)). Courts evaluate unconscionability on a sliding scale: “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa” (*Ibid.*) “The burden of proving unconscionability rests upon the party asserting it.” (*OTO*, supra, 8 Cal.5th at 126.)

1. Procedural Unconscionability.

Plaintiff asserts that the arbitration agreement is unconscionable because the contract was adhesive, and the circumstances of its formation created oppression and surprise.

California courts have consistently held that arbitration may be imposed as a condition of employment. (See, e.g., *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1244 (*Baltazar*); *Dotson v. Amgen, Inc.* (2010) 181 Cal.App.4th 975, 981-982.) Courts have acknowledged that the take-it-or-leave-it nature of the agreement may render it adhesive, but without more, only indicates a low level of potential procedural unconscionability that is insufficient to allow the court to find the agreement unenforceable. (See *OTO*, supra, 8 Cal.5th at p.126.) The aforementioned “more” is oppression or surprise. (*Ibid.*) “Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (*Pinnacle*, supra, 55 Cal.4th at p. 247.)

a. Oppression.

Here, Plaintiff first argues that the arbitration agreement is an oppressive contract of adhesion because Plaintiff does not recall (1) being presented with any arbitration terms; or (2) that anyone discussed or explained arbitration to her. (Opposition, p. 9:11-13 [citing Declaration of Kylie K. Lum [“Lum Decl.”], ¶¶ 6-7].)

The argument is unpersuasive as “[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle*, supra, 55 Cal.4th at p. 236.) Moreover, Plaintiff cites no authority for the proposition that an employer is required to explain to an employee the legal consequences of signing an agreement to arbitrate claims. (See *United Grand Corp. v. Malibu Hillbillies, LLC* (2019) 36 Cal.App.5th 142, 153 (*United Grand*) [court may disregard conclusory arguments that are not supported by pertinent legal authority or fail to disclose the reasoning by which the appellant reached the conclusions he or she wants us to adopt].) As Defendants point out, an employer has no obligation to highlight or call out an arbitration clause to an employee’s attention. (Reply, p. 5:4-6 [citing *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 914³].)

Plaintiff next argues that the absence of an opt-out procedure and failure to provide arbitration rules heightens the oppressive circumstances of the contract’s formation. (Opposition, p. 10:7-17.) Plaintiff maintains that

³ “As in many consumer transactions involving standard form contracts, Sanchez apparently did not read the entirety of his contract, including the arbitration clause. (See Consumer Financial Protection Bur., Arbitration Study: Rep. to Congress, Pursuant to Dodd-Frank Wall Street Reform and Consumer Protection Act § 1028(a) (Mar. 2015) § 3, p. 19 [fewer than 7 percent of credit card consumers subject to predispute arbitration clauses knew that they could not sue in court]; cf. *Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 710 [applying “the general rule that one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with [its] language” to a nonadhesive health care contract negotiated by the Board of Administration of the State Employees Retirement System on the plaintiff’s behalf].) [¶] On the other hand, Valencia was under no obligation to highlight the arbitration clause of its contract, nor was it required to specifically call that clause to Sanchez’s attention. Any state law imposing such an obligation would be preempted by the FAA.”

Labor Code section 432.6, subdivision (a) precludes employers from requiring arbitration as a condition of employment. Labor Code section 432.6, subdivision (f), however, also provides, “Nothing in this section is intended to invalidate a written arbitration agreement that is otherwise enforceable under the Federal Arbitration Act.” As noted above, the parties do not dispute that the FAA applies here, and as Defendants argue, the FAA preempts **Labor Code**, § 432.6 under **Chamber of Commerce of the United States v. Bonta** (9th Cir. 2023) 62 F.4th 473, 480.

Plaintiff also cites **Baltazar**, supra, 62 Cal.4th 1237 for the proposition that the failure to provide arbitration rules renders an agreement procedurally unconscionable. The **Baltazar** court is inapposite as it held that the failure to include the rules does not affect the court’s unconscionability analysis where the challenge to the enforcement of the arbitration agreement has nothing to do with the applicable rules. (Id. at p. 1246.)

While Plaintiff also cites, inter alia, **Zullo v. Superior Court** (2011) 197 Cal.App.4th 477, 485 and **Carbajal v. CWPSC, Inc.** (2016) 245 Cal.App.4th 227, 246 (**Carbajal**) in support, these cases are superseded by **Baltazar**, which expressly rejected a claim similar to **Carbajal**. (See **Nguyen v. Applied Medical Resources Corp.** (2016) 4 Cal.App.5th 232, 248 [discussing **Carbajal**, given subsequent ruling in **Baltazar**].)

And with respect to her assertion that a failure to name a forum renders an agreement procedurally unconscionable, the court disregards the assertion as Plaintiff provides no authority in support. (**United Grand**, supra, 36 Cal.App.5th at p. 153.)

Plaintiff’s final argument on oppression is premised on the following factors outlined in **OTO**:

(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney. (**OTO**, supra, 8 Cal.5th at pp. 126-127, citation and quotations omitted.)

Plaintiff asserts that all factors are present, indicating procedural unconscionability. The Court disagrees.

First, Plaintiff had one week from the issuance of the Offer Letter on April 21, 2022 to consider, sign, and return the same. (Offer Letter, p. 3.) Plaintiff viewed the Offer Letter on April 22, 2022 and signed on April 26, 2022—i.e., two days before the deadline (factor 1). (Heller Decl., ¶¶ 12, 14.)

Furthermore, contrary to Plaintiff’s characterization, the Court does not find the arbitration clause to be problematic, as it identified Plaintiff’s obligation to arbitration in clear and concise plain English in a readable font in the penultimate paragraph of the three-page Offer Letter (factor 3). (Offer Letter, p. 2.)

Finally, while Plaintiff declares that Heartflow did not explain to her that she had an opportunity to review the onboarding documents with an attorney, Plaintiff cites no authority supporting the assertion that a failure to provide such an explanation renders the arbitration agreement procedurally unconscionable as a matter of law (factor 5). (**United Grand**, supra, 36 Cal.App.5th at p. 153.)

Plaintiff also produces no evidence that she wanted to but could not consult an attorney. (See **Kim v. Sumitomo Bank** (1993) 17 Cal.App.4th 974, 979 [“This court is not required to discuss or consider points which are not argued or which are not supported by citation to authorities or the record.”])

Plaintiff’s declaration stating, “The offer letter and onboarding documents were presented to me as a condition of my employment” and “I have had no legal education, training, or experience”, however, demonstrates the presence of factors 2 and 4.

b. Surprise.

In claiming surprise, Plaintiff repeats her argument that because the At-Will Agreement has “Arbitration Agreement” in the title but no reference to arbitration in the substantive portion of the document, Plaintiff was surprised.

For reasons discussed above, the Court has rejected this argument. And while Plaintiff claims in her declaration that she “did not know or have any reason to expect that signing any documents...would prevent [her]

from filing a lawsuit in the future or eliminate my right to a jury”, the Offer Letter expressly states “(ii) you are waiving any and all rights to a jury trial but all court remedies will be available in arbitration.” (Compare Lum Decl., ¶ 5 with Offer Letter, p. 2.)

Plaintiff also argues that she was surprised because there was no description of how arbitration would work or the claims it would reach. Plaintiff provides no legal authority supporting the proposition that an arbitration clause must explain or describe the arbitration process, and furthermore, the Offer Letter plainly states, “In the event of any dispute or claim relating to or arising out of our employment relationship, you and the Company agree that (i) any and all disputes between you and the Company shall be fully and finally resolved by binding arbitration[.]” (Offer Letter, p. 2.)

2. Substantive Unconscionability

While the Court finds some procedural unconscionability based on the adhesive nature of the arbitration agreement, this is not dispositive because Plaintiff must still establish *substantive* unconscionability. (See **Ramirez v. Charter Communications** (2024) 16 Cal.5th 478, 492-493 (**Ramirez**) [while adhesion contracts are subject to scrutiny, “they remain valid and enforceable unless the resisting party can also show that one or more of the contract’s terms is substantively unconscionable or otherwise invalid”].)

Plaintiff insists that the arbitration agreement is substantively unconscionable because it requires Plaintiff to arbitrate the claims that she is most likely to bring, while Defendants may pursue claims they are most likely to bring in court. (Opposition, p. 11:21-24.)

“Substantive unconscionability looks beyond the circumstances of contract formation and considers the fairness of an agreement’s actual terms focusing on whether the contract will create unfair or one-sided results. Substantively unconscionable contractual clauses reallocate risks in an objectively unreasonable or unexpected manner.” (**Ramirez**, supra, 16 Cal.5th at p. 493, internal punctuation and citations omitted.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (**Pinela v. Neiman Marcus Group, Inc.** (2015) 238 Cal.App.4th 227, 241, internal citation and quotation marks omitted.) “[I]t is unfairly one-sided for an employer with superior bargaining power to impose arbitration on the employee as plaintiff but not to accept such limitations when it seeks to prosecute a claim against the employee, without at least some reasonable justification for such one-sidedness based on ‘business realities.’” (**Armendariz**, supra, 24 Cal.4th at p. 117.)

Here, Plaintiff interprets the At-Will Agreement as excluding claims brought under its terms from arbitration and insists that such an exclusion is unfair because such claims are more likely to be brought by Heartflow. (Opposition, p. 12:22-24.) Specifically, Plaintiff asserts that the Legal and Equitable Remedies provision would allow Heartflow to enforce its “confidentiality, trade-secret, invention-assignment, and non-disclosure provisions” through injunction, specific performance, or other equitable relief. (Id. at p. 12:24-26.) In support, Plaintiff cites two recent decisions: **Fuentes v. Empire Nissan, Inc.** (2026) 19 Cal.5th 93 (**Fuentes**) and **Stoker v. Blue Origin, LLC** (2026) 120 Cal.App.5th 91 (**Stoker**).

In **Fuentes**, the Court reviewed the terms of a confidentiality agreement, noting that nothing in its text required an employer-defendant to bring its claims under the agreement in court, but also observing references to “legal action” which, understood in its ordinary, popular sense, indicated a proceeding in court. (Id. at p. 108.) The Court concluded, “The confidentiality agreements’ silence about the forum for dispute resolution therefore indicates that the parties did not intend disputes to be subject to mandatory arbitration.” (Id. at p. 109.)

In **Stoker**, the appellate court affirmed the denial of a motion to compel arbitration, finding that the arbitration agreement was procedurally unconscionable as a contract of adhesion and substantively unconscionable because (1) it was overbroad in the claims it would cover; (2) contained a carveout exemption benefitting the employer; and (3) contained a pre-dispute waiver for the right to a jury trial and to bring a representative claim. (**Stoker**, supra, 120 Cal.App.5th at pp. 106-112.) The **Stoker** court concluded that the carveout exemption for trade secret violations, trademark infringement, breach of fiduciary duty, among other claims, were most likely to be brought by an employer, and an arbitration agreement excluding such claims created a one-sided exemption that is unconscionable as a matter of law. (Id. at pp. 108, 110.)

In their reply brief, Defendants distinguish these cases, noting that in **Fuentes**, the Court found a high level of procedural unconscionability. In **Stoker**, the appellate court found three independent bases for substantive

unconscionability. To the extent Defendants argue the lack of mutuality alone is not sufficient to demonstrate unconscionability, Defendants are correct. In **Ramirez**, the Court noted that unconscionability due to lack of mutuality “requires a one-sided result along with the absence of a justification for it.” (**Ramirez**, supra, 16 Cal.5th at p. 500; see **Armendariz**, supra, 24 Cal.4th at p. 117.) Here, just as in Ramirez, Defendants provide no business justification for the lack of mutuality, and accordingly, this Court “must assume” that the lack of mutuality is unconscionable. (BI 500 [citing Armendariz, supra, 24 Cal.4th at p. 120.]

3. Severability.

Having found the “Legal and Equitable Remedies” provision of the At-Will Agreement to be substantively unconscionable, the remaining question is whether the provision is severable.

“At the outset, a court should ask whether ‘the central purpose of the contract is tainted with illegality.’” (**Ramirez**, supra, 16 Cal.5th at p. 516 [quoting **Armendariz**, supra, 24 Cal.4th at p. 124].) “If so, the contract cannot be cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract’s unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary.” (**Ramirez**, supra, 16 Cal.5th at p. 516.)

Here, as Defendants argue, the central purpose of the arbitration agreement is to arbitrate claims arising out of the parties’ employment relationship. (Offer Letter, p. 2.) The At-Will Agreement’s “Legal and Equitable Remedies” provision that, according to Plaintiff, allows Defendant to enforce its confidentiality, trade secret, invention assignment, and non-disclosure provisions by injunction, specific performance, or other equitable relief (Opposition, p. 12:24-26), is therefore collateral and does not go to the central purpose of the agreement to arbitrate employment disputes.

Given the foregoing, the court concludes that the “Legal and Equitable Remedies” provision is severable. (See **Ramirez**, supra, 16 Cal.5th at p. 517 [“if the contract contains a severance clause, the court should take it into account as an expression of the parties’ intent that an agreement curable by removing defective terms should otherwise be enforced.”].)

V. Conclusion.

The motion of defendants to compel arbitration is GRANTED.

The action of defendants to stay the litigation of this matter is GRANTED pending the outcome of arbitration.

DATED:

HON. SOCRATES PETER MANOUKIAN
Judge of the Superior Court
County Of Santa Clara

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Calendar Line 4

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Calendar Line 5

SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

DEPARTMENT 1

191 North First Street, San Jose, CA 95113
(408) 808-6856
smanoukian@scscourt.org
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(For Clerk's Use Only)

CASE NO.: 25CV481839

Alden Ang v. BMW Financial Services NA, LLC

DATE: 2 July 2026

TIME: 9:00 am

LINE NUMBERS: 5&6

This matter will be heard by the Honorable Judge Socrates Peter Manoukian in Department 1 in the Downtown Superior Courthouse, 191 North First Street, San Jose. Any party opposing the tentative ruling must call Department 1 at 408.808.6856 and the opposing party no later than 4:00 PM on 1 July 2026. Please specify the issue to be contested when calling the Court and Counsel.

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Order On Defendant BMW Financial Services' Motion To Compel Arbitration And Demurrer

I. Statement of Facts.

A. Plaintiff's Complaint.

In approximately November 2023, Plaintiff Alden Ang ("Plaintiff") bought a 2024 BMW X7 (the "Subject Vehicle") from a car dealer. (Complaint, ¶6.) At the time of purchase, Plaintiff entered into a retail installment sale contract ("RISC"), in which he agreed to make monthly payments towards the purchase price for the Subject Vehicle. The RISC was assigned to BMW Financial Services NA, LLC ("Defendant"), which was and is the holder of the RISC.

In approximately July 2025, Defendant repossessed the Subject. (Complaint, ¶7.) Defendant sent Plaintiff a document titled "Notice of Our Plan to Sell Property" ("NOI") bearing the date 1 August 2025. (*Id.* at ¶8.) Defendant also sent Plaintiff a letter with the subject "Auction Breakdown," which was dated October 8, 2025 and explained that the Subject Vehicle had been sold and Plaintiff owed a deficiency balance. (*Id.* at ¶9.) Defendant reported and continues to report the deficiency balance to various credit bureaus. (*Id.* at ¶10.) Plaintiff contends that the NOI did not comply with the Rees-Levering Act (**Civil Code** §§ 2981, et seq.) or the requirements of the Commercial Code. (*Id.* at ¶¶11-13.)

B. Procedural History

On 9 December 2025⁴, Plaintiff filed in the Santa Clara County Superior Court a complaint against Defendant raising a single cause of action for a public injunction under **Business and Professions Code**, § 17200.

On 20 January 2026, Defendant filed a notice of removal to federal court.

On 1 April 2026, the federal court filed its order remanding the case to this court.

On 13 May 2026, Defendant filed a motion to compel arbitration and a demurrer. Plaintiff opposes both motions and Defendant has filed replies.

⁴ This Department intends to comply with the time requirements of the Trial Court Delay Reduction Act (**Government Code**, §§ 68600–68620). The California Rules of Court state that the goal of each trial court should be to manage limited and unlimited civil cases from filing so that 100 percent are disposed of within 24 months. (Ca. St. Civil **Rules of Court**, Rule 3.714(b)(1)(C) and (b)(2)(C).)

II. Motion to Compel Arbitration

A. Motions to Compel Arbitration Generally.

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See **Howsan v. Dean Witter Reynolds** (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (**Fleming v. Oliphant Financial, LLC** (2023) 88 Cal.App.5t 13, 19, internal quotation marks omitted.) The agreement at issue expressly provides that it is governed by the Federal Arbitration Act (the “FAA”) and not any state arbitration law to the maximum extent permitted by law.

The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See **Rosenthal v. Great Western Fin’l Securities Corp.** (1996) 14 Cal.4th 394, 413 (**Rosenthal**) [moving party’s burden is a preponderance of evidence].) A moving party can meet their initial burden by showing that an agreement to arbitrate the dispute exists. (**Espejo v. Southern California Permanente Medical Group** (2016) 246 Cal.App.4th 1047, 1060.) The burden then shifts to the resisting party to prove a ground for denial. (**Rosenthal**, *supra*, 14 Cal.4th at p. 413.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (**Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC** (2012) 55 Cal.4th 223, 236; see also **Quach v. California Commerce Club, Inc.** (2024) 16 Cal.5th 562, 569 [“California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts”]; 9 U.S.C. § 2 [An arbitration agreement “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract”].)

B. Judicial Notice.

In support of the motion to compel arbitration, Defendant requests judicial notice of (1) Plaintiff’s arbitration demand with JAMS, (2) Plaintiff’s statement of claims in the arbitration proceeding, (3) the RISC, and (4) the Order Granting Motion to Remand entered in *Ang v. BMW Financial Services NA, LLC*, Case No. 5:26-cv-00519-BLF in the United States District Court for the Northern District of California on March 30, 2026.

The unopposed request is GRANTED insofar as the court takes judicial notice of the existence of the documents, though not necessarily the truth of any hearsay statements therein. (**Brown v. TGS Management Co., LLC** (2020) 57 Cal.App.5th 303, 308, fn. 2 [taking judicial notice of arbitration documents]; see also **Barri v. Workers’ Comp. Appeals Bd.** (2018) 28 Cal.App.5th 428, 437 [court may take judicial notice of documents, but not of the truth of hearsay statements in such documents unless an independent hearsay exception exists; “it is improper to rely on judicially noticed documents to prove disputed facts”].)

V. Analysis.

Defendant provides evidence that the RISC, which is signed by Plaintiff, contained an arbitration provision. (See Declaration of Amy Nolan in Support of Motion, Ex. A.) In opposition, Plaintiff does not dispute that he signed the agreement or that it governs the claim raised in the instant case. Instead, Plaintiff claims that he offered to proceed to arbitration on the claim raised in the instant case but Defendant declined that offer.

Plaintiff also contends that, if Defendant takes the position that the arbitrator cannot order a public injunction, the rule in **McGill v. Citibank, N.A.** (2017) 2 Cal. 5th 945 and, in that instance, compelled arbitration should be denied. But, in its motion, Defendant expressly argues that the arbitration agreement does not waive the right to seek a public injunction and that the arbitration agreement provides that the “arbitrator may award any

damages or other relief or remedies permitted by applicable law” and thus, the arbitrator may order a public injunction.

Accordingly, the motion to compel arbitration is GRANTED.

VI. Demurrer.

In light of the Court’s order granting the motion to compel arbitration, the demurrer is MOOT. (See **Lew-Williams v. Petrosian** (2024) 101 Cal.App.5th 97, 108-109 [“once a trial court grants a petition to compel arbitration and stays the action, the trial court retains only vestigial jurisdiction over the matter to determine once the arbitration is concluded whether the action should be dismissed”].)

VII. Order.

Defendant’s motion to compel arbitration is GRANTED. The proceedings are hereby STAYED pending the outcome of arbitration. Defendant’s demurrer is therefore MOOT.

DATED:

HON. SOCRATES PETER MANOUKIAN
Judge of the Superior Court
County of Santa Clara

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Calendar Line 6

DATED:

HON. SOCRATES PETER MANOUKIAN

Judge of the Superior Court

County Of Santa Clara

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